

The Founder's Curriculum

Building, Funding and Scaling a Startup — 12 Stages

Prepared for Pankaj

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The Founder's Curriculum

A Complete, Practical Guide to Building, Funding, and Scaling a Startup

Written for: Pankaj — backend + AI/ML engineer (~4 yrs), building AI-infra products (an LLM cost-attribution platform and a cybersecurity ASM tool) under his own company umbrella, based in India.

How to use this book: Work through one stage at a time. Do the “This Week” action before moving on. Answer the quiz questions in writing — if you can’t, re-read the stage. Frameworks only work if you actually run them against your two products.

Note: Figures like typical round sizes and valuations shift with market cycles — treat them as directional ranges, not gospel.

STAGE 1 — Ideation & Validation

1.1 Core idea: startups die from building things nobody wants

Paul Graham's most repeated advice: "Make something people want." The #1 cause of startup death (CB Insights post-mortems) is **no market need** — not bad code, not competition. As an engineer, your instinct is to build. The whole point of Stage 1 is to *delay building* until you have evidence.

A problem worth solving has three properties:

1. **Frequent or expensive** — it happens often, or when it happens it costs real money/time/risk.
2. **Currently solved badly** — people use spreadsheets, interns, duct-taped scripts, or just eat the pain.
3. **Someone owns the pain** — a specific person whose job/budget is on the line.

Your context, real scenario: For your LLM cost-attribution platform, the pain owner is a VP Engineering or Platform lead at a company spending, say, \$40k/month on OpenAI/Anthropic APIs across 6 teams, who gets asked by the CFO "why did AI spend double last quarter?" and can't answer per-team or per-feature. That's frequent (monthly billing panic), expensive (real dollars), and solved badly (CSV exports + spreadsheets). That's a real problem shape. For the ASM tool, the pain owner is a security lead at a company with sprawling cloud assets who fears the breach headline. Both pass the shape test — now you need evidence they pass in reality.

1.2 Idea generation frameworks (when you need more ideas)

- **Live in the future** (PG): what do you, as an AI-infrastructure engineer, already do that most companies will need in 3 years? You picked LLM FinOps this way, probably without naming it.
- **Unbundle a spreadsheet:** every messy internal spreadsheet at a company is a SaaS product waiting to happen. (Salesforce unbundled the rolodex spreadsheet; your cost-attribution tool unbundles the "AI spend tracking" sheet.)
- **Ride a platform shift:** AWS created Datadog, Snowflake, and the entire cloud FinOps category (CloudHealth, Cloudability). LLM APIs are the same shift replaying — you're betting LLM FinOps rhymes with cloud FinOps. Good bet structure.
- **Scratch your own itch — carefully:** great for insight, dangerous for market size. You must verify others share the itch *and will pay*.

1.3 Market research: TAM / SAM / SOM without lying to yourself

- **TAM (Total Addressable Market):** everyone who could conceivably use the category. *All companies globally using LLM APIs at scale.*
- **SAM (Serviceable Addressable Market):** the slice your product, as designed, can serve. *Mid-size engineering orgs (20–500 devs) using multiple LLM providers, English-speaking markets.*
- **SOM (Serviceable Obtainable Market):** what you can realistically win in 2–3 years given your channel and resources. *Maybe a few hundred such companies reached via developer content + communities.*

Do it bottom-up, not top-down. Top-down (“AI market is \$X00B, we take 1%”) is what investors ignore. Bottom-up: (# of target companies) × (% with the pain) × (realistic annual price). E.g., ~30k companies spending >\$10k/mo on LLM APIs × willing-to-pay ~20% × \$6k/yr ≈ \$36M reachable revenue in the near term — small today but growing fast, which is exactly the “small market becoming big” pattern VCs like (Uber’s original deck sized black cars only).

Competitor analysis, practical version: make a table of the top 5–8 alternatives — including “spreadsheet” and “do nothing,” which are always your biggest competitors. For each: who they serve, pricing, wedge, what users complain about (read G2 reviews, Reddit, HN threads — complaints are free product strategy). For LLM cost tracking you’d map: Langfuse/Helicone (observability-first), cloud FinOps vendors adding AI views, provider-native dashboards, and internal scripts. Your question is: *what’s my wedge they can’t or won’t do?* (e.g., per-user/per-feature attribution + savings levers, which observability tools treat as an afterthought.)

1.4 Customer discovery & problem interviews (The Mom Test)

Rob Fitzpatrick’s *The Mom Test* in one line: **ask about their life, not your idea.** Anyone (even your mom) will say your idea is nice. Nobody fakes past behavior.

Rules:

- Talk about **their past and present**, never your hypothetical future. “How do you track AI spend today?” not “Would you use a tool that tracks AI spend?”
- **Specifics over generalities.** “Walk me through the last time the AI bill surprised you. What did you do that day?”
- **Money/time spent = signal.** “Have you tried to fix this? Built anything internal? How long did it take?” If they never tried to solve it, the pain is probably not top-3.
- **Compliments are worthless data.** “Cool idea!” = polite exit. A good interview ends with them asking *you* for something (early access, intro, pricing).

Real scenario: You interview 15 engineering leaders. Ten say “yeah, cost tracking would be nice.” Two say “we built an internal dashboard, it took 3 sprints, it’s broken, and finance still yells at us monthly.” Those two are your market. The ten “nice” responses are noise. Founders who can’t tell these apart build for the ten and die.

How to find interviewees: your own network, r/mlops and similar communities, LinkedIn search for “platform engineering” at AI-heavy companies, people commenting on LLM-cost threads on HN/X. Aim for 15–25 conversations before writing serious code.

1.5 MVP definition and validating demand before building

An MVP is **the smallest thing that tests your riskiest assumption** — not v1 of the product. Riskiest assumption for you is *not* “can I build token tracking” (you obviously can); it’s “will a company connect their LLM traffic to a stranger’s tool and pay for it.”

Demand tests, cheapest first:

1. **Landing page + waitlist:** one page stating the problem, the promise, and an email box. Drive 200–500 targeted visitors (posts in relevant communities, small ads). >10% email conversion on a cold audience is a real signal; 1% is not.

2. **Concierge / Wizard-of-Oz:** do it manually. Offer 3 companies: “send me your API usage export, I’ll hand you a cost-attribution report in 48h.” Dropbox validated with a demo video; Zappos founder photographed shoes in stores and bought them retail after each order. Airbnb’s founders rented their own air mattresses. Manual first, software later.
3. **Pre-sales / LOIs:** the gold standard. “It’s \$200/mo, ships in 6 weeks — can I invoice you for the pilot?” A verbal yes is weak; a signed pilot agreement or payment is strong. Even 3 paying pilots beats 500 waitlist emails.

Common Stage-1 mistakes (engineer edition):

- Building for 6 months before the first customer conversation (the default engineer failure mode — guard against it deliberately).
- Pitching in interviews instead of listening; hearing “sounds cool” as validation.
- Top-down TAM math; ignoring “do nothing” as the real competitor.
- Talking only to friendly peers instead of people with budgets.
- Running two ideas half-heartedly instead of validating both fast and killing one. (You have two products — set an explicit bar: whichever gets 3 paying pilots first wins your focus.)

1.6 Stage 1 checklist

- ☐ One-sentence problem statement naming a specific persona and pain
- ☐ 15+ Mom-Test-style interviews done, notes written, quotes saved
- ☐ Evidence of existing spend on the problem (internal tools, workarounds, hours)
- ☐ Bottom-up TAM/SAM/SOM on one page
- ☐ Competitor table incl. “spreadsheet” and “do nothing”
- ☐ Riskiest assumption written down + the cheapest test for it
- ☐ Demand artifact live: landing page, concierge offer, or pilot proposal
- ☐ Kill/continue criteria defined *in advance* (e.g., “3 paid pilots in 8 weeks or pivot”)

This week: Book 5 problem interviews with engineering/security leaders (not friends). Ask only about the last time the problem bit them. Write down verbatim quotes.

1.7 Quiz — Stage 1

1. Why is “Would you use a tool that does X?” a bad interview question, and what should you ask instead?
2. Compute a bottom-up SOM for your ASM tool. What three numbers do you need?
3. Your landing page got 400 visitors and 12 signups. Interpret this. What’s your next test?
4. What is *your* riskiest assumption for TokenFin, and why is it not a technical one?
5. Two interviewees built internal versions of your product. Is that good or bad news? Defend both readings.

STAGE 2 — Business Fundamentals

2.1 Business models — how the money flows

- **SaaS subscription:** flat or tiered recurring fee (Slack, Notion). Predictable revenue, predictable for the buyer. Best when value is continuous.
- **Usage-based:** pay per unit consumed (AWS, Twilio, OpenAI). Revenue scales with customer success; harder to forecast; buyers fear bill shock. *Ironically, bill shock is the pain TokenFin solves — note the pattern.*
- **Hybrid (platform fee + usage):** increasingly the default for infra (Datadog: per-host + volume). Likely your best fit: base fee per org + tier by tracked spend or events.
- **Marketplace:** take a cut of transactions between two sides (Airbnb ~15%, Stripe ~2.9%). Powerful but brutal to bootstrap (chicken-and-egg).
- **Open-core:** open-source core, paid cloud/enterprise (GitLab, Langfuse). Great developer distribution, real risk of giving away too much. Relevant option for you given developer buyers.
- **Value/outcome-based:** price as % of savings delivered. Tempting for TokenFin (“we take 10% of what we save you”) — attractive pitch, but hard to attribute cleanly and buyers resist open-ended fees. Often better as a *sales argument* (“pays for itself 8x”) than a pricing mechanic.

2.2 Unit economics — the five numbers that decide if you have a business

- **CAC (Customer Acquisition Cost):** total sales+marketing spend ÷ new customers. If you spend ₹80k on ads/content/your time and land 4 customers, CAC = ₹20k.
- **LTV (Lifetime Value):** average monthly gross profit per customer × average lifetime in months. Rule of thumb: lifetime ≈ 1 ÷ monthly churn. At \$200/mo, 85% gross margin, 3% monthly churn: LTV ≈ \$200 × 0.85 × 33 ≈ \$5,600.
- **Churn:** % of customers (or revenue) lost per period. Revenue churn matters more than logo churn. **Negative net revenue churn** (expansion from survivors outpaces losses — Snowflake, Datadog) is the most powerful force in SaaS. Usage-based pricing on a growing category (LLM spend) gives you a natural shot at it.
- **Gross margin:** revenue minus cost-to-serve. SaaS should run 75–85%. Watch this closely in AI products — if *your* product calls LLMs per request, margin can collapse to 40% without noticing. Your compression/savings features must be priced above their inference cost.
- **Payback period:** CAC ÷ monthly gross profit per customer. <12 months is healthy for early SaaS; bootstrappers should aim much lower because you’re funding CAC from your own pocket.

Health check: LTV:CAC ≥ 3:1 and payback <12 months. Below that, you don’t have a growth engine, you have a leaky bucket — fix churn or CAC before pouring in more money.

Real scenario: Early-stage numbers are noisy — with 8 customers, one cancellation is “12.5% churn.” Don’t panic-optimize; do exit interviews instead. But *do* compute these monthly from day one so you see trends.

2.3 Pricing strategy

Principles:

1. **Price on value, not cost.** If TokenFin saves a customer \$3k/month, \$300/mo is trivially justifiable. Your server costs are irrelevant to the price.
2. **Charge from day one.** Free pilots teach you nothing about willingness to pay. Discounted pilots (“50% for 3 months as design partner”) preserve the price signal.
3. **You will price too low.** Almost every technical founder does. Patrick Campbell’s (ProfitWell) data: startups underprice by 30–50%. Raising prices later is easier than you fear; new customers never knew the old price.
4. **Pick a value metric that scales with customer value:** for TokenFin, tracked monthly LLM spend or event volume — a customer spending \$100k/mo on LLMs happily pays more than one spending \$5k. This is how you get expansion revenue without selling anything new.
5. **Three tiers, decoy in the middle-top:** Starter (self-serve, cheap), Growth (the one you want everyone on), Enterprise (SSO, RLS/audit, custom — “talk to us”). Enterprise buyers *expect* to pay 5–10x; don’t deny them the option.
6. **Test with the van Westendorp shortcut:** in interviews ask “at what price would this be so cheap you’d doubt it? expensive but worth it? too expensive?” Cluster the answers.

2.4 The lean one-pager (replaces the 40-page business plan)

Nobody reads business plans. Use a **Lean Canvas** on one page: Problem · Customer segment · Unique value proposition · Solution · Channels · Revenue streams · Cost structure · Key metrics · Unfair advantage. The last box is the hardest and most honest: “unfair advantage” is something that can’t be copied by a funded competitor in 6 months (your gateway-level savings measurement with holdout control groups is closer to an unfair advantage than dashboards are — data + methodology moats beat feature moats).

Common Stage-2 mistakes: pricing at \$9/mo for a business product because “it feels safe”; free forever pilots; ignoring gross margin on AI features; measuring vanity metrics (signups) instead of revenue retention; choosing marketplace dynamics without realizing the cold-start cost; copying a competitor’s pricing without their cost structure.

2.5 Stage 2 checklist

- ☐ Business model chosen and *why written down* (one paragraph)
- ☐ Value metric selected (what scales price with value?)
- ☐ Three-tier pricing drafted; anchored against value delivered, not cost
- ☐ Spreadsheet computing CAC, LTV, churn, gross margin, payback — updated monthly
- ☐ Gross margin on any LLM-calling feature computed at expected volume
- ☐ Lean Canvas one-pager done for each product
- ☐ A price you’re slightly embarrassed to say out loud (that’s roughly the right price)

This week: Build the unit-economics spreadsheet with your real (or pilot-projected) numbers, and draft three pricing tiers for TokenFin. Say the Growth-tier price out loud to one prospect and watch their face.

2.6 Quiz — Stage 2

1. Your product costs \$150/mo, gross margin 80%, monthly churn 5%, CAC \$900. Compute LTV, LTV:CAC, and payback. Is this fundable? What single change helps most?
2. Why is “% of savings” pricing seductive but dangerous for TokenFin?
3. What’s the difference between logo churn and revenue churn, and why can revenue churn be negative?
4. Name the value metric you’d price the ASM tool on, and justify it.
5. A design partner asks for a free 6-month pilot “with a big logo.” What do you counter with, and why?

STAGE 3 — Legal & Structure

Not legal advice — I'm not a lawyer. Use this to have an informed conversation with a CA/CS/startup lawyer; get real counsel for documents you sign.

3.1 Choosing an entity — India and global

India options:

- **Private Limited (Pvt Ltd):** the default for fundable startups. Separate legal entity, limited liability, can issue ESOPs and preference shares to investors. Compliance overhead: ROC filings, statutory audit, board minutes (~₹25-60k/yr in professional fees). Register for **DPIIT Startup India** recognition — tax benefits (Sec 80-IAC), easier compliance, and (historically) angel-tax relief; angel tax was abolished for all investors from FY 2025-26, removing an old pain for foreign investment.
- **LLP:** cheaper compliance, fine for services/consulting umbrellas, but VCs won't invest in it and ESOPs don't work. Wrong vehicle for a venture-scale product.
- **Sole proprietorship / OPC:** simplest, but proprietorship has unlimited liability; OPC can't add a co-founder as shareholder easily. Fine for freelancing, not for this.

Global structures (matters for you — your buyers are likely US companies):

- **US Delaware C-Corp:** what YC and most US VCs require. Standardized docs (SAFEs), QSBS tax benefits for US holders.
- **Flip / holdco structures:** many Indian founders selling to the US incorporate a Delaware parent with an Indian subsidiary for engineering (“Delaware topco + India dev center”), or start India-only and “flip” later — flipping costs real money and tax pain (and 2024-25 saw some companies *reverse-flip* into India for local listings).
Practical rule: decide based on where your *customers and investors* will be. Selling US-first SaaS and targeting YC/US VCs → strongly consider Delaware from the start. India-first revenue or Indian VCs → Pvt Ltd is fine.
- **Singapore holdco** is the middle option some Asia-focused startups use.

Real scenario: Two Indian founders build a devtool, get YC, and burn \$15-40k and three months on lawyers flipping their Pvt Ltd into a Delaware parent mid-batch. If they'd known their market was US-first, day-one Delaware (via Stripe Atlas/Clerky, ~\$500) would have avoided it. Conversely, an India-market SaaS that incorporated in Delaware “because YC” now pays US accountants forever for no benefit.

3.2 Founder agreements, equity splits, vesting

- **Split equity based on the future, not the past.** The next 8 years of work matter more than who had the idea. Equal or near-equal splits are common and defensible; wildly unequal splits breed resentment. Have the awkward conversation *now* — Y Combinator sees more startups die from co-founder conflict than from competition.
- **Vesting: 4 years, 1-year cliff, for founders too — including solo founders before a raise.** Cliff means nothing vests until month 12, then monthly. This is your insurance: if a co-founder walks after 8 months, they leave with 0% instead of 50%. Investors will force it anyway; doing it early avoids re-papering.
- **Founders' agreement should cover:** equity + vesting, roles and decision rights, what happens on exit/death/deadlock, IP assignment, non-compete scope, and how

new ideas under your “umbrella” are owned (this matters for you specifically — two products under one roof needs clarity on what belongs to the company).

- **Common horror story:** the departed-cofounder-with-25% problem. A co-founder leaves in year one with a large unvested-because-there-was-no-vesting stake; every future investor flags the “dead equity” and the round nearly dies. Vesting exists to prevent exactly this.

3.3 IP, contracts, and the basic paper stack

- **IP assignment:** every founder, employee, and contractor signs an agreement assigning work-product IP to the company. As an ex-employee yourself, check your old employment contracts for IP/non-compete claims *before* your startup’s code overlaps with past work.
- **NDAs:** useful with customers/partners handling real data (your ASM tool will touch sensitive asset data — customers will demand a mutual NDA + DPA). Nearly useless when pitching investors — VCs don’t sign NDAs; don’t ask.
- **Customer-facing basics:** Terms of Service, Privacy Policy, and (since you touch usage data/prompts) a Data Processing Agreement. For TokenFin’s prompt-capture feature, privacy posture is a *sales feature* — off-by-default, TTL, RLS — write it into the policy and the pitch.
- **Trademarks** for your product names early (cheap, ~₹4.5k/class in India + fees); **patents** rarely worth it pre-revenue for software.

3.4 Cap table basics

The cap table is the ledger of who owns what. Track: shareholder, share class (equity vs preference), number of shares, % fully diluted.

- **Fully diluted** = counting all shares *plus* everything convertible (ESOP pool, SAFEs, notes, warrants). Always think in fully-diluted terms — that’s what investors use.
- **ESOP pool:** carve out 10–15% before or at your first priced round (investors usually demand the pool comes from founders’ side pre-money — this is a hidden dilution point to negotiate).
- **Keep it clean:** few shareholders, standard terms, no random 5% advisors, no dead equity. Messy cap tables kill deals at Series A. Use a tool (Carta, or India: Qapita/EquityList/trica) once you have >5 holders.
- Rule of thumb: founders collectively holding <50% before Series A is a yellow flag for later investors.

Common Stage-3 mistakes: no founder vesting; 50/50 with no deadlock-breaker; giving 2–5% to “advisors” who show up twice; incorporating in Delaware with zero US nexus (or refusing to when the whole market is the US); skipping IP assignment then discovering a contractor owns your core module; mixing personal and company money (open a separate bank account on day one).

3.5 Stage 3 checklist

- ☐ Entity chosen with a written rationale (customers? investors? compliance cost?)
- ☐ DPIIT recognition applied for (if Indian entity)
- ☐ Founders’ agreement signed: split, 4y/1c vesting, roles, IP, exit terms

- ☐ IP assignment signed by every person who has written a line of code
- ☐ Company bank account; zero personal-money mixing
- ☐ ToS + Privacy Policy + DPA template live before first paying customer
- ☐ Cap table spreadsheet (fully diluted) started, even if it's just you
- ☐ Trademark search done on product names

This week: Write your one-paragraph entity rationale (India Pvt Ltd vs Delaware) based on where TokenFin's first 10 customers will be. If anyone else has committed code, get IP assignment signed this week.

3.6 Quiz — Stage 3

1. Your first 10 target customers are US mid-market tech companies and you want to apply to YC. What structure do you pick and why? What does the alternative cost you later?
2. Explain vesting with a 1-year cliff to a non-technical friend in three sentences. Why should a *so/o* founder still put their own shares on vesting before a raise?
3. An investor asks for your cap table "fully diluted." What must you include beyond issued shares?
4. Why won't VCs sign NDAs, and what actually protects your idea instead?
5. What specific legal artifacts does the ASM tool need before a customer lets it scan their infrastructure?

STAGE 4 — Product

4.1 MVP philosophy: build-measure-learn

Eric Ries's loop: **Build** the smallest thing that tests a hypothesis → **Measure** real behavior (not opinions) → **Learn** and decide: persevere, tweak, or pivot. The unit of progress is *validated learning*, not shipped features.

The engineer's trap is optimizing the Build step (clean architecture, scale-ready infra) when the loop's bottleneck is Measure and Learn. Your Supabase + Next.js stack is already more than enough; the discipline is shipping something embarrassing every 1-2 weeks and watching what real users do with it. Reid Hoffman: "If you're not embarrassed by your first version, you launched too late." LinkedIn's v1 had no search-by-company; Superhuman spent years pre-launch and is the *exception*, not the model.

Instrument from day one. You can't run build-measure-learn without event tracking (PostHog/Amplitude or even your own events table). For TokenFin: track activation events like "first API key created," "first ingest event received," "first dashboard view with real data." The gap between signup and first-data-ingested is where your product lives or dies.

4.2 Prioritization frameworks

- **RICE:** score = (Reach × Impact × Confidence) ÷ Effort. Good for comparing dissimilar items on a backlog. Its real value is forcing you to *estimate reach honestly* — most pet features score terribly on reach.
- **MoSCoW:** Must / Should / Could / Won't — best for scoping a release. The power move is the **Won't** list: writing down what you're explicitly not doing this cycle.
- **Kano:** classify features as basic (absence angers), performance (more = better), delighter (unexpected joy). Useful check: TokenFin's accurate cost numbers are *basic* (table stakes — one wrong number destroys trust), savings recommendations are *performance*, and something like the one-click MCP connect is a *delighter*.
- **The one-question override:** "Does this help a prospect start paying, or a customer keep paying?" If neither, it waits — no matter its RICE score.

Real scenario: You have 20 backlog items. A prospect says they'll sign if you add SSO. RICE would rank SSO low (reach = 1 team). The override says: 1 paying customer at this stage is worth more than a point of framework purity — but extract the pattern ("is SSO blocking others too?") before building one-off features. Beware the opposite failure: building 5 different one-off features for 5 prospects who never sign. Get the commitment ("signed order form contingent on SSO") first.

4.3 Product-market fit — how to actually detect it

PMF is not a launch or a feeling; it's when the market starts pulling the product out of you. Signals, in increasing reliability:

1. **Sean Ellis test:** survey users — "How would you feel if you could no longer use this?" ≥40% answering "very disappointed" is the classic PMF threshold (Superhuman built its whole product process around this).
2. **Retention curves that flatten.** Plot cohort retention (week 1, 2, 3...). If curves slope to zero, no PMF regardless of growth. If they flatten at a healthy level — some

users have made you a habit — you have something. For TokenFin, the retention event is “weekly active dashboard/API use” or better, “still ingesting events.”

3. **Organic pull:** inbound signups you can't explain, users complaining loudly when you're down, customers describing the product to each other better than you do, sales cycles shortening. Marc Andreessen's description: “you can always feel it when it's happening — customers are buying as fast as you can add servers.”
4. **The brutal test: revenue retention.** Do customers renew and expand without heroics?

Before PMF: the only jobs are talking to users and shipping the loop. **Don't scale anything** — hiring, marketing spend, sales teams — before it. Premature scaling is the classic post-mortem finding (see Stage 12).

4.4 Roadmapping & iteration cycles

- Pre-PMF, keep roadmaps to **6 weeks max** — anything longer is fiction. A simple *Now / Next / Later* board beats a Gantt chart.
- Run **weekly or biweekly cycles**: pick a theme, ship, demo to at least 2 users, write down what you learned. Basecamp's Shape Up (6-week cycles + 2-week cooldown) is a good model once you have a team.
- **One metric that matters per cycle** (activation rate this month; then week-4 retention; then expansion). Focus beats dashboards.
- Say no in public: a “not planned” answer with a reason earns more trust than a fake “on the roadmap.”

Common Stage-4 mistakes: refactoring instead of learning; building for imagined scale; adding features to fix a retention problem that's actually an onboarding problem; treating your own aesthetic preferences as user data; polling users on what to build (users describe pains reliably, solutions poorly — the “faster horses” problem); calling a spike of signups PMF (acquisition spikes lie; retention doesn't).

4.5 Stage 4 checklist

- ☐ Event tracking live; activation funnel defined (signup → aha-moment steps)
- ☐ Weekly ship cadence; every ship demoed to ≥ 2 real users
- ☐ Cohort retention chart exists and is looked at weekly
- ☐ Sean Ellis survey run once you have ~30+ active users
- ☐ Now/Next/Later roadmap, nothing “Now” beyond 6 weeks
- ☐ A written “Won't do” list for this quarter
- ☐ One metric that matters declared for the current cycle

This week: Define TokenFin's activation event (“first real usage event ingested and viewed”) and measure the % of signups reaching it. That single number will set your next month's roadmap.

4.6 Quiz — Stage 4

1. Your signups doubled after a launch post, but week-4 retention is 4%. Diagnose. What do you work on?

2. A prospect offers to pay for a custom report feature. Walk through how you decide, using both RICE and the override question.
3. What's the difference between the Sean Ellis test and NPS, and why does the former matter more pre-PMF?
4. Why is "users asked for it" insufficient justification for a feature? Give the faster-horses framing.
5. What is TokenFin's most honest retention event, and why is "dashboard login" a weaker choice than "still ingesting events"?

STAGE 5 — Go-To-Market (GTM)

5.1 Choosing a GTM motion

- **Product-led growth (PLG):** the product sells itself — self-serve signup, free tier/trial, in-product upgrade (Slack, Figma, Notion, Vercel). Works when users can experience value in minutes without permission from procurement. CAC is low; conversion is a numbers game.
- **Sales-led:** humans sell to buyers — demos, pilots, procurement (Palantir, Workday). Works when deals are big, buyers aren't users, and value needs explanation. Expensive but necessary for enterprise.
- **Community-led / developer-led:** win developers' trust first via open source, content, community; monetize teams later (HashiCorp, MongoDB, Supabase, Langfuse). Slow burn, deep moat.
- **Most infra companies blend:** PLG wedge for individual devs/teams + sales-assist for orgs ("bottom-up + land-and-expand," the Datadog/Twilio pattern).

Your call, concretely: TokenFin is naturally **PLG with sales-assist**: an engineer can connect an API key and see their own cost data in 10 minutes (your MCP one-click connect is exactly a PLG activation asset). The ASM tool is harder PLG — security buyers rarely self-serve a scanner onto their infra; expect **sales-led with a strong free artifact** (e.g., a free external-surface report as the hook). Note this means the two products need *different* GTM muscles — one more reason to sequence, not parallelize.

5.2 Zero to 100 customers — do things that don't scale

PG's essay title is the whole lesson. Airbnb went door-to-door in NYC taking apartment photos. Stripe's founders installed the API on founders' laptops on the spot ("Collison installation"). Your first 10-20 customers come from **manual, unscalable, founder-driven effort**:

1. **Your network + adjacent network (customers 1-5):** ex-colleagues, communities you're already in. Ask for the intro explicitly: "Who do you know who's annoyed by their AI bill?"
2. **Targeted cold outreach (5-30):** 10-15 hand-written emails/DMs a day to precisely-fit people (platform leads at companies visibly using LLMs — job posts mentioning LLM ops are a great signal). Short, specific, about *their* pain, one clear ask (15-min chat or a free cost report).
3. **Community presence (10-50):** be usefully present where buyers hang out — answer LLM-cost questions on HN, Reddit, MLOps Slack groups *without pitching*. Attach a genuinely useful artifact (open-source token-price calculator, a "state of LLM spend" mini-report).
4. **Launches (30-100):** Hacker News Show HN, Product Hunt, X/LinkedIn build-in-public. Launches give spikes, not engines — their job is to seed the flywheel and find lighthouse users.

White-glove everything early: onboard each customer personally on a call. You'll close more *and* every onboarding is a usability test.

5.3 Positioning & messaging

Positioning (April Dunford's *Obviously Awesome*): decide what you are the **best in the world at, for whom, against what alternative**. The formula: for [specific segment] who [pain], [product] is a [category] that [key benefit], unlike [alternative] which [gap].

Example for you: “For engineering teams spending \$10k+/month on LLM APIs, TokenFin is an LLM cost-attribution and savings platform that shows exactly which team, feature, and model drives spend — and cuts it — unlike observability tools where cost is a side-tab, or spreadsheets that are always stale.”

Category choice is strategic: call yourself “LLM observability” and you fight Langfuse/Helicone on their turf; call yourself “LLM FinOps / cost attribution” and you may own a smaller category as its default. Early on, owning a niche beats sharing a big category (the classic *Positioning* / Al Ries lesson; also how Drift, Gong, and Category-of-one companies operate).

Messaging rule: lead with the pain in the customer's words (reuse verbatim interview quotes), quantify the outcome (“teams typically find 20–30% waste in week one”), demote features to supporting evidence.

5.4 Channels — pros and cons

- **Content/SEO:** compounding, trust-building, cheap in cash, expensive in time; 6–12 months to work. Great fit for devtools — engineers research before buying. Start with “pain-point SEO” pages (e.g., “how to reduce OpenAI API costs”, “anthropic API pricing calculator”) rather than thought-leadership.
- **Cold outreach:** fast feedback, fully controllable, scales linearly with effort; low reply rates, easy to do badly (generic spray = spam). Best early-stage channel for B2B because you learn from every reply *and* every silence.
- **Communities/dev-rel:** high trust, perfect for your buyer; slow, unmeasurable, ruined instantly by pitching too hard.
- **Partnerships/integrations:** ride someone's distribution (an “integrations marketplace” listing with LLM frameworks, cloud marketplaces); can deliver warm leads, but partners move slowly and you don't control priority. Better after PMF, with one exception: *integration-as-distribution* (being the recommended cost tool inside a popular framework's docs) is worth chasing early.
- **Paid ads:** instant volume, precise targeting; expensive for dev audiences (devs don't click ads), burns cash pre-PMF. Use only for small landing-page demand tests.

Channel strategy rule (from *Traction*, Weinberg/Mares): brainstorm all channels, test 2–3 cheaply and simultaneously, double down on the ONE that works. Startups fail by dabbling in six channels at 15% effort each.

Common Stage-5 mistakes: hiring a marketer/salesperson to figure out GTM the founder hasn't figured out first (founder-led sales is mandatory until ~\$500k–1M ARR); launching once and calling it a strategy; positioning by feature list; picking PLG because sales feels scary (or sales because it feels serious) rather than because the buyer's behavior demands it; chasing enterprise logos pre-PMF and drowning in procurement + custom demands.

5.5 Stage 5 checklist

- ☐ GTM motion chosen per product, justified by *buyer behavior* not founder comfort
- ☐ Positioning statement written; category deliberately chosen
- ☐ List of 100 named target accounts/people (yes, actually 100)
- ☐ Outreach machine: 10 personalized touches/day, tracked in a simple CRM
- ☐ One “free artifact” hook per product (free cost report / free surface scan)
- ☐ 2-3 channels in cheap parallel test, with a success metric each
- ☐ Every new customer gets a founder onboarding call

This week: Write the positioning statement for TokenFin using the Dunford formula, then send 10 cold messages to platform-engineering leads that lead with *their* pain and offer the free artifact.

5.6 Quiz — Stage 5

1. Why is the ASM tool a poor pure-PLG candidate while TokenFin is a good one? What buyer-behavior facts drive that?
2. Your PH launch brought 800 signups; 30 activated; 2 paid. Which number matters and what’s the fix hypothesis?
3. Write (from memory) a one-sentence positioning statement for the ASM tool. What alternative are you positioned against?
4. Why must the founder do sales personally until ~\$1M ARR — what is lost when you delegate it early?
5. You have 10 hrs/week for GTM. Allocate them across channels for month one and defend the split.

STAGE 6 — Sales & Marketing

6.1 B2B vs B2C fundamentals

- **B2C:** millions of small decisions; emotion + convenience; won by distribution and habit loops; monetized by volume/ads/subscriptions. Not your world right now.
- **B2B:** fewer, bigger, slower decisions. Multiple people in every deal: **user** (engineer who wants the tool), **champion** (your internal salesperson — the platform lead), **economic buyer** (owns budget — VP Eng/CTO/CISO), **blockers** (security review, procurement, legal). Deals die when you only talk to the user and never find the economic buyer.
- B2B buying is *risk management*: the buyer's real question is “will this make me look good or get me fired?” References, security posture (SOC 2 eventually), and a crisp ROI story reduce perceived risk — for the ASM tool especially, you're selling to professionally paranoid people.

6.2 Building a pipeline/funnel

Stages: **Lead → Qualified → Demo/Discovery → Pilot/Eval → Negotiation → Closed (won/lost)**. Track count and conversion % at each stage in a simple CRM (Attio/HubSpot free/Notion is fine early). Pipeline math works backwards: if you close 20% of demos and want 4 customers/quarter, you need 20 demos, which at a 5% cold-reply→demo rate means ~400 quality touches. This arithmetic — not motivation — is what makes sales predictable.

Qualify hard with BANT-lite: Budget (do they spend enough on LLM APIs for this to matter?), Authority (is your contact the champion or a tourist?), Need (did *they* describe the pain, or did you?), Timeline (is anything forcing action — a CFO mandate, an audit?). Disqualifying fast is a superpower; a polite “we're not a fit yet” saves weeks.

Discovery > demo. Spend the first half of any call asking questions (current workflow, cost of the problem, who else cares, what happens if they do nothing). Then demo *only* the 2-3 things that map to what they said. Founders who demo all 30 features lose to founders who demo 3 relevant ones.

Pilots that convert: timebox (2-4 weeks), define success criteria in writing *with the champion* (“attribute ≥90% of spend to teams; identify ≥15% savings”), pre-agree the price on success (“if we hit these, it's \$X/mo starting date Y”). An open-ended pilot is a free consulting engagement.

6.3 Marketing channels & picking them

Marketing's early job is not brand ads — it's making your outbound warmer and your inbound existent. The stack that fits a technical founder selling to engineers:

1. **Founder-led content:** write what you learn building (real numbers, real post-mortems). Build-in-public posts on X/LinkedIn compound your network. This is authentically you and can't be outsourced.
2. **Pain-point SEO + tools:** calculators, pricing comparison pages, “reduce LLM costs” guides. Free tools (a public token-cost calculator) are SEO magnets and lead magnets

simultaneously — HubSpot built an empire on this pattern; Ahrefs/Shopify’s free tools do the same.

3. **Case studies as soon as humanly possible:** one real “we cut ACME’s LLM bill 28%” story outsells any feature page. Trade discounts for case-study rights with early customers.
4. **Email list from day one:** every reader/waitlist/trial email goes into a list you own. Channels change; the list is yours.

Choosing: score channels on (a) are buyers *actually* there, (b) can you produce credibly, (c) time-to-signal. Kill anything with no signal after 4–6 weeks of honest effort.

6.4 Brand basics for a startup

Early brand = **consistency + a point of view**, not a logo. Pick a stance and repeat it everywhere (“every AI dollar should be attributable” is a brandable belief). Be recognizably one thing: same tone, same visual identity, same promise on site/deck/posts. Trust artifacts matter disproportionately in infra: real docs, a status page, transparent pricing, honest limitations (“we don’t do X yet”) — engineers can smell marketing fluff and reward candor. Name test: can someone spell it after hearing it once, and is the domain/GitHub/X handle consistent?

Common Stage-6 mistakes: demoing before discovery; pilots with no success criteria or price attached; treating “no decision” as a competitor you don’t fight (it’s your biggest one — quantify cost-of-doing-nothing); hiring a sales rep before the founder has closed 10+ deals personally and written the playbook; posting content for other founders instead of for buyers; buying ads to compensate for a product that doesn’t retain.

6.5 Stage 6 checklist

- ☐ CRM live with pipeline stages and conversion tracking
- ☐ Discovery question script written (10 questions, memorized)
- ☐ Demo cut to a 10-minute “three killer moments” version
- ☐ Pilot template: timebox + success criteria + price-on-success
- ☐ Champion/economic-buyer mapped for every active deal
- ☐ One free tool or calculator shipped as a lead magnet
- ☐ First case study drafted (or the discount-for-case-study deal offered)
- ☐ Email list capturing on the site

This week: Write your 10 discovery questions and run them on your next two calls — force yourself to not show the product for the first 20 minutes.

6.6 Quiz — Stage 6

1. Name the four roles in a B2B deal and identify each for a TokenFin sale to a 200-person company.
2. You want 5 customers next quarter, close 25% of demos, and 4% of cold touches become demos. How many touches do you need? What does that imply about your week?
3. What three things must a pilot agreement pin down, and what happens when each is missing?

4. Why is “no decision” your biggest competitor, and what artifact fights it?
5. When is it right to hire your first salesperson, and what must exist before then?

STAGE 7 — Funding & Finance

7.1 Bootstrapping vs raising — the real trade-off

- **Bootstrap** when: the market is reachable with founder-led sales, you can get to revenue fast, and you value control + optionality (Mailchimp, Zoho, Basecamp; Zerodha in India — all bootstrapped to massive outcomes). Costs: slower, personally risky, you compete against funded rivals' marketing.
- **Raise** when: the market has a land-grab dynamic (category being defined *now* — arguably true for LLM FinOps), you need to outrun copycats, or the product needs upfront build before revenue. Costs: dilution, investor expectations of venture-scale outcomes (a \$30M exit is life-changing bootstrapped, a failure to a VC), and fundraising eats 3–6 founder-months per round.
- **Middle paths:** revenue-based financing, small angel round then default-alive, or “bootstrap until PMF then raise to pour fuel” — the healthiest pattern for most infra startups. Rule: **raise on your terms when you have leverage (traction), not from desperation.**

7.2 Funding stages (directional; markets move)

- **Pre-seed:** idea→early prototype; \$100k–\$1M typical; from angels, micro-VCs, accelerators; usually SAFEs at \$3–10M cap (India: often ₹1–5 Cr at similar logic via iSAFE/CCPS).
- **Seed:** early traction (pilots, first revenue, strong usage); \$1–4M at \$8–25M post; institutional seed funds + angels. What seed investors want: evidence of pull + a founder who's a learning machine + a market that could be huge.
- **Series A:** repeatable engine forming; classic SaaS bar ≈ \$1M+ ARR growing 2–3x/yr with strong retention; \$6–20M at \$30–100M+. A is about *metrics*, seed is about *story* + *early proof*.
- **Series B+:** pour fuel on a proven machine.
- **Accelerators:** YC (standard deal: \$500k — \$125k for 7% + \$375k on an uncapped MFN SAFE) buys network + credibility + forcing function. India: Peak XV Surge, Accel Atoms, etc. Worth it mostly for first-time founders selling into markets where the network matters — for a US-first devtool, YC is close to a cheat code if you can get in.
- **Grants/non-dilutive (India):** Startup India Seed Fund Scheme (up to ~₹50L via incubators), MeitY/TiE programs, cloud credits (AWS Activate, Azure/GCP/OpenAI/Anthropic startup programs — as an AI-infra startup, stack these credits; they're worth \$25k–\$350k).

7.3 Investor types & what they optimize for

Angels (operators writing \$5–50k checks): fast decisions, help with intros, judge founder + market. **Micro-VC / seed funds:** portfolio math — they need each bet to plausibly return the fund, so “big if it works” matters more than “safe.” **Large VCs:** power-law hunters; a 10x outcome is a disappointment at scale. **Strategic/corporate VCs:** money + distribution but potential conflicts (a cloud vendor's VC arm investing in your cost-cutting tool has mixed incentives — think it through). **Accelerators:** standardized deal, cohort leverage. Understand the power law: VCs say no to good businesses that are insufficiently

huge; a “no” often means “not venture-scale for my model,” not “bad company.”

7.4 Pitch decks — structure and what investors actually look for

The 10-12 slide canon: **Title → Problem → Solution → Why now → Market (bottom-up) → Product (show, don't tell) → Traction → Business model → Competition (2x2 or honest table) → Team → Ask & use of funds.**

What they're *actually* evaluating behind the slides:

1. **Why now** — the single most convincing slide for you: “LLM spend is going through the cloud-spend trajectory, but the FinOps layer doesn't exist yet.” Airbnb's deck sold the timing; Uber's sold the wedge market.
2. **Founder-market fit** — an AI-infra engineer building AI-infra tooling is a story that writes itself; make it explicit.
3. **Traction slope over absolute numbers** — \$8k MRR growing 40% m/m beats \$50k MRR flat.
4. **Honest competition slide** — “no competitors” reads as “didn't look.” Name them, show your wedge.
5. **The ask:** amount, milestone it buys (“18 months to \$1M ARR”), not a use-of-funds pie chart of salaries.

Deck exists in two versions: a send-ahead (self-explanatory) and a presented version (sparse, you narrate). Keep a data room ready: metrics dashboard, cap table, incorporation docs.

7.5 SAFEs, convertibles, dilution — the mechanics

- **SAFE (Simple Agreement for Future Equity):** investor gives cash now for the right to shares at the *next priced round*, at the better of a **valuation cap** or a **discount** (typically 10-20%). No interest, no maturity. India equivalent: iSAFE (100X.VC template) or compulsorily convertible instruments — Indian law doesn't allow true SAFEs, so CCPS/CCD structures are used.
- **Convertible note:** like a SAFE but it's *debt* — has interest (~5-8%) and a maturity date; if you haven't raised by maturity it can technically be called. SAFEs have largely replaced notes in the US.
- **How a cap works:** investor puts \$500k on a \$5M cap. Your priced seed happens at \$15M pre. They convert as if the price were \$5M — i.e., ~3x more shares than new money gets. Caps are the “real” valuation; don't celebrate a high cap you can't grow into.
- **Dilution math you must be able to do:** raise \$2M at \$8M pre → post = \$10M → new investor owns 20%, everything else (you + ESOP + SAFEs) compresses by 20%. Stack a 10% ESOP top-up demanded *pre-money* and founder dilution per round is typically 20-30%. Two founders after seed + A commonly hold ~50-60% combined. Model it in a spreadsheet before signing anything; every term (“pool pre-money,” “cap,” “pro-rata”) is a dilution lever.
- **Terms that bite later:** liquidation preference >1x, participating preferred, full-ratchet anti-dilution, investor veto lists that are too broad. At seed, insist on standard docs (YC SAFE / standard CCPS terms).

7.6 Startup finance: burn, runway, default alive

- **Burn rate** = monthly cash out – cash in. **Runway** = cash ÷ net burn. Know these to the week, always.
- **Default alive or default dead** (PG's question): on current growth and burn, do you reach profitability before the money runs out? Know the answer monthly. If default dead, you're on a fundraising clock whether you admit it or not.
- Rules of survival: 18–24 months runway post-raise; start raising with 9+ months left (fundraising takes 3–6); revenue in the bank beats projections; keep fixed costs (salaries, offices) brutally low pre-PMF — variable costs flex, fixed costs kill.
- Basic hygiene: monthly P&L + cash-flow view (a spreadsheet is fine), separate accounts, a CA doing GST/TDS/ROC from day one (₹3–8k/mo well spent), invoice on time and chase receivables — B2B customers *will* pay late.

Common Stage-7 mistakes: raising to avoid the harder work of finding PMF; optimizing valuation over investor quality (a too-high seed price makes your A harder — “down-round risk”); taking the first term sheet without parallel conversations (leverage = alternatives); confusing a SAFE cap with being “worth” that; spending 6 months fundraising while the product stalls (timebox the raise, run it like a sales pipeline with 50+ names); hiding bad news from investors (they've seen everything; surprises are what kill trust).

7.7 Stage 7 checklist

- ☐ Bootstrap-vs-raise decision written down with the *market-speed* argument
- ☐ Dilution spreadsheet modeling pre-seed → A scenarios
- ☐ Burn/runway/default-alive computed monthly (calendar reminder)
- ☐ Cloud/AI startup credits applied for (all of them)
- ☐ 10-slide deck drafted even if not raising (it sharpens strategy)
- ☐ Target investor list (30–50 names) with warm-path notes, if raising
- ☐ Data room folder started: metrics, cap table, incorporation docs
- ☐ CA engaged; GST/TDS/ROC calendar automated

This week: Build the dilution spreadsheet: model raising \$500k on a \$5M-cap SAFE, then \$2.5M at \$12M pre with a 10% pre-money ESOP top-up. Compute what you own at the end. The number will focus your mind.

7.8 Quiz — Stage 7

1. You raise \$500k on a \$4M-cap SAFE, then price a round at \$16M pre. What conversion price does the SAFE holder get, and roughly what multiple on new investors?
2. Define default-alive. Your burn is ₹6L/mo, cash ₹48L, MRR ₹1L growing 15% m/m — are you default alive? Show reasoning.
3. Why can a *higher* seed valuation hurt you? Name the specific risk.
4. What's the difference between a SAFE and a convertible note, and why can a note's maturity date be dangerous?
5. A strategic VC from a big cloud vendor offers to lead your round. List two upsides and two conflicts to weigh.

STAGE 8 — Team & Hiring

8.1 When to hire — and the discipline of not hiring

Pre-PMF, headcount is your enemy: it raises burn, adds management load, and dilutes learning speed. Hire only when a constraint is *provably* throttling you and has been for weeks — not to feel like a “real company.” WhatsApp had ~55 people at a \$19B exit; Instagram 13 at \$1B — small teams win more than founders believe. Corollary: **contract before you hire** (a fractional designer, a part-time CA) and **automate before you contract**.

Who first, for a technical solo founder? Usually either (a) a second engineer to double shipping speed once sales demand is proven, or (b) a founding GTM person *only after* you’ve personally closed 10+ customers and can hand over a written playbook. Hiring sales to *discover* GTM for you is the classic mistake — they’ll fail with your money.

8.2 Co-founder dynamics

The #1 preventable startup killer. Most conflicts trace to *unspoken expectations*, so speak them: do the **50 questions exercise** (YC’s co-founder questionnaire): equity, hours, money needs, ambition (lifestyle vs unicorn), who decides what, what happens if one wants out or the company gets a \$5M acqui-hire offer.

- **Complementary > similar:** two backend engineers will fight over architecture and neglect sales. If you take a co-founder, the highest-value profile for you is someone who *loves* the commercial side.
- **Decision rights beat consensus:** divide domains (you: product/eng; them: GTM/ops) with each having final say in their domain. CEO title decided early — investors want one throat to choke.
- **Vesting + a pre-agreed exit ritual** (Stage 3) turns a potential company-killer into a sad-but-survivable event.
- **Solo founding is viable** (you’re doing it): counter its real costs deliberately — decision loneliness (build an advisor/peer circle), skill gaps (contract them), investor skepticism (offset with traction).

8.3 Culture in the early days

Culture is not a values poster; it’s **what behavior gets rewarded, tolerated, and repeated** — and in a 3-person company it’s simply the founder’s visible behavior. Decide early and write down (a one-page “how we work”): default transparency (open metrics? open salaries?), speed vs polish bias, how disagreement happens (in writing? in meetings?), remote/hybrid, and what you fire for (values violations vs skill gaps). Netflix’s culture memo and GitLab’s public handbook are the reference artifacts. First 5 hires *are* the culture — each one sets 20% of it; hire slowly, fire respectfully-but-quickly when it’s clearly wrong (everyone knows by month two; founders act by month eight and regret the delay).

8.4 Early-hire compensation & equity

Early employees trade market salary for equity upside; be honest about the math with them.

- **Directional ESOP bands (adjust to market/geography):** founding engineer (#1–2): 0.5–2% (higher if pre-funding/below-market salary); early engineers #3–10: 0.1–1%; a true “founding” GTM lead: 0.5–1.5%. India cash+ESOP norms run lower % than the Valley; what matters is the *story you can defend*.
- **Standard terms:** 4-year vesting, 1-year cliff, from a 10–15% ESOP pool. Explain strike price and what their % is *fully diluted* — opaque equity grants destroy trust when discovered.
- **Contractors get cash, not equity**, with rare advisor exceptions: advisors 0.1–0.5% for 2 years vesting, *only* with concrete deliverables (intros to 10 customers, not “guidance”).
- India note: ESOP taxation bites at exercise (perquisite tax) — DPIIT-recognized startups get deferral benefits; brief your CA and your hires.

Common Stage-8 mistakes: hiring friends without interviewing them; equal-ish equity to employee #1 “because it’s early”; job titles inflated to VP that block later senior hires; hiring for scale problems you don’t have; keeping a brilliant jerk (team output drops more than their individual output adds); outsourcing core product development (the thing you must be best at is the thing you never outsource — for you, the eng is in-house by definition; don’t outsource *sales learning* either).

8.5 Stage 8 checklist

- ☐ “Hire trigger” list: which metric/constraint justifies each next role
- ☐ If considering a co-founder: 50-questions exercise done, decision domains split, vesting signed
- ☐ One-page “how we work” doc written
- ☐ ESOP pool sized and policy drafted before hire #1
- ☐ Offer template: salary + equity % (fully diluted) + vesting explained in plain words
- ☐ Advisor equity policy (small, vested, deliverable-tied)
- ☐ Peer/mentor circle for solo-founder decision support (2–3 people you can call)

This week: Write your hire-trigger list — the specific evidence that would justify hires #1 and #2 — and the one-page how-we-work doc. Both take an hour and prevent expensive improvisation later.

8.6 Quiz — Stage 8

1. What must be true before you hire a salesperson, and why does hiring one earlier usually fail?
2. A friend offers to join as co-founder for 40% equity. List five questions from the co-founder exercise you’d resolve before saying yes, and the terms you’d insist on regardless.
3. Your first engineer asks “what’s my equity worth?” Walk through the honest answer: %, dilution, vesting, exercise, tax.
4. Why is a brilliant jerk net-negative? What’s the observable evidence you’d act on?

5. As a solo founder, name your three biggest structural risks and one concrete mitigation for each.

STAGE 9 — Operations & Growth

9.1 Basic ops — run the company like a product

Minimum stack (mostly free at your size): a CRM (Attio/HubSpot), accounting via your CA + Zoho Books/QuickBooks, a metrics dashboard, a docs wiki (Notion), payroll/contractor payments (Razorpay/Wise), a password manager + 2FA everywhere (you're a security founder — be unembarrassable here), and an incident/status page once customers depend on you.

Process rule: write it down the second time you do it. Second customer onboarding → onboarding checklist. Second investor update → update template. This is how a solo founder scales without hiring — and it becomes the training manual for hire #1. (You already live this pattern: your CLAUDE.md is exactly this discipline applied to code.)

The weekly metrics review is the single highest-leverage ops habit: same dashboard, same day each week — MRR, new/churned customers, activation rate, retention cohort, pipeline, burn/runway. Fifteen minutes; trends, not points.

9.2 OKRs / KPIs that matter per stage

Skip formal OKRs while it's just you-plus-a-couple; use **one North Star + 3-4 input metrics**.

- **Pre-PMF:** North Star = *retention/activation quality* (e.g., % of signups still ingesting events at week 4). Inputs: interviews done, activation rate, weekly ship count. NOT total signups, not revenue growth at all costs.
- **Post-PMF / growth:** North Star = revenue-linked usage (for TokenFin, something like “monthly LLM spend under management” — a metric where customer success and your revenue point the same way, like Airbnb's nights booked). Inputs: new pipeline, activation, **NRR (net revenue retention)** — the single number that best predicts SaaS fate: >100% good, >120% elite.
- OKR hygiene when you do adopt them (team ~8+): 3 objectives max, measurable key results, set quarterly, reviewed weekly, and they must be allowed to fail (sand-bagged OKRs are theater).

9.3 Growth loops vs one-time acquisition

Funnels drain; **loops compound**. A launch is a bucket of water; a loop is a pump. Ask of every acquisition effort: *does its output feed its own input?*

- **Content loop:** product usage → data → insight content (“State of LLM Spend” from anonymized aggregates) → attracts practitioners → more usage → richer data. This is your most natural loop and a genuine moat.
- **Collaboration/virality loop:** user invites teammates because the product is better with them (Figma, Slack). TokenFin has this seed: cost attribution *requires* adding the whole team's keys/projects — design invitations into onboarding.
- **Free-tool loop:** calculator → SEO traffic → email list → trials → customers whose usage improves the calculator's data.
- **Marketplace/integration loop:** listed in an ecosystem → installs → reviews/ranking → more installs.

One-time tactics (launches, ads, conference booths) are fine as *ignition* for a loop — never as the engine.

9.4 Retention & engagement

Retention beats acquisition arithmetic: at 5% monthly churn you replace ~46% of your base yearly just to stand still. Playbook:

1. **Nail activation:** most churn is decided in week one — the user never reached the aha moment. Instrument the funnel (signup → key created → first ingest → first insight seen) and fix the biggest drop. High-touch onboarding calls early are cheating in a good way.
2. **Become a habit or a system-of-record:** weekly cost digest emails, Slack alerts on budget overruns — TokenFin should *interrupt usefully*, not wait to be visited. Better: get into the workflow (budget gates in CI, the MCP integration inside their editor) so removal hurts.
3. **Watch leading indicators, not cancellations:** ingest volume dropping, alerts disabled, champion left the company — score accounts on these and intervene *before* renewal.
4. **Do exit interviews on every churn.** Five honest exit conversations outreach fifty dashboards.
5. **Expansion is retention's twin:** usage-based tiers mean growing customers pay more without a sales cycle — that's how NRR >100% happens.

Common Stage-9 mistakes: dashboard sprawl (20 metrics, zero decisions); optimizing acquisition while retention leaks; copying growth hacks without the underlying loop; adopting big-company OKR ceremony at 3 people; never writing processes down and becoming the permanent bottleneck; treating ops as beneath the founder until an invoice, a backup, or a compliance deadline explodes.

9.5 Stage 9 checklist

- ☐ Weekly metrics review scheduled; one dashboard, ≤8 numbers
- ☐ North Star metric declared for your current stage
- ☐ Activation funnel instrumented; biggest drop-off identified
- ☐ One growth loop chosen and deliberately engineered (not hoped for)
- ☐ Churn early-warning signals defined; exit-interview script ready
- ☐ “Second time = write it down” process doc habit started
- ☐ Financial ops calendar (GST, TDS, payroll, invoicing) automated with CA

This week: Declare your North Star metric, build the one-page dashboard (even as a SQL query + spreadsheet), and hold your first Monday metrics review with yourself.

9.6 Quiz — Stage 9

1. Why is “signups” a dangerous North Star pre-PMF, and what should TokenFin's be instead?
2. Explain the difference between a funnel and a loop with a concrete TokenFin example of each.

3. Your monthly churn is 6%. What does that imply annually, and what are the first two diagnostic questions you'd ask?
4. Design an early-warning churn score for TokenFin: name three leading indicators from your own data model.
5. What is NRR, how can it exceed 100%, and why do investors care about it more than growth rate?

STAGE 10 — Leadership & Mindset

10.1 Founder psychology: the game is played in your head

Ben Horowitz (*The Hard Thing About Hard Things*) calls it “the struggle” — the period where nothing works and you can’t show weakness anywhere. Every founder experiences it; the ones who survive treat it as weather, not as verdict.

- **Uncertainty is the job.** You’ll make consequential decisions with 40% of the information, repeatedly. The skill isn’t eliminating uncertainty; it’s *calibrated action*: make the call, define what evidence would change it, revisit on schedule. Jeff Bezos’s frame helps: **one-way vs two-way doors**. Two-way-door decisions (pricing, feature bets, channel tests) — decide fast, reverse cheaply. One-way doors (co-founder, incorporation, taking VC money, signing a bad enterprise contract) — slow down deliberately. Most founders invert this: agonizing over reversible calls, rushing irreversible ones.
- **Emotional whiplash is normal:** a customer signs at 11am, your champion resigns at 3pm. Dampen the amplitude: don’t extrapolate any single event, good or bad. Keep a decision journal — write down big calls and reasoning at the time; reviewing it teaches you your own bias patterns and proves progress when morale says otherwise.
- **Burnout prevention is a business function, not self-care fluff.** You are the company’s core asset; run yourself like production infrastructure: sleep as an SLO, hard stop times most days, one true day off weekly, exercise scheduled like a customer meeting. Burnout shows up as cynicism and decision-avoidance long before collapse — watch for “I’ll decide next week” becoming your default.
- **Identity separation:** you are not your startup. Founders who fuse identity with the company make worse decisions (can’t kill bad ideas — it feels like killing themselves) and suffer more. Your engineering career is a floor under you; internalize that the downside is survivable, and you’ll take better risks.
- **Loneliness (esp. solo):** you can’t fully share doubts with employees (they’ll panic) or investors (they’re evaluating you). Build the third channel: 2–3 founder peers at similar stage for monthly brutal-honesty calls, plus a mentor a few years ahead. This is the highest-ROI “networking” that exists.

10.2 Time management as a solo/early founder

- **You have ~3 real levers each week: build, sell, learn.** Everything else is overhead to minimize. A brutal weekly question: “What % of my hours touched product or customers?” Below 60%, your calendar is lying to you about your job.
- **Maker/manager split (PG):** batch calls into two afternoons; defend mornings for deep work. One context switch costs you 20+ minutes of engineering flow — schedule like you know that.
- **The Eisenhower trap for founders:** urgent-unimportant (email, most meetings, tweaking the logo) systematically crowds out important-non-urgent (customer interviews, pricing thought, hiring pipeline, your own health). Put important-non-urgent items *in the calendar* as appointments or they don’t happen.
- **Weekly review ritual (30 min, Friday):** what moved the needle, what didn’t, top-3 for next week, metric check. The top-3 rule: if everything is a priority, nothing is — pick three, finish them.

- **Say no by default:** coffee chats, “quick calls,” advisory requests, conference panels. Pre-PMF, your only defensible yes is customers, product, and (if raising) investors.

10.3 Communicating with stakeholders

- **Investor updates (monthly, even pre-investment to mentors):** short template — metrics vs last month, highlights, lowlights (always include real lowlights; hiding problems reads as either dishonesty or blindness), asks (intros, hires), runway. Founders who send great updates get disproportionate help — the *ask* section is a free lever most founders waste. Bad news travels first: investors forgive misses, never surprises.
- **Team:** repeat the mission and priorities until you’re bored of them — that’s when the team is *starting* to hear it. Context over control: explain why, let people own how. In hard moments (down round, layoff, pivot), over-communicate; silence gets filled with worse stories than the truth.
- **Customers:** honesty as strategy — real status pages, real postmortems, real “we don’t do that yet.” In infra/security, trust is the product; one glossed-over incident costs more than ten admitted bugs. Respond to churn and complaints personally at your stage: each is a free consulting session on your product.
- **Yourself:** the story you tell yourself matters most. “We haven’t found the channel yet” produces better decisions than “I’m bad at marketing.” Precision about problems is a leadership skill.

Common Stage-10 mistakes: treating rest as reward instead of maintenance; decision-avoidance disguised as “gathering more data”; venting doubts to employees; polishing decks/logos as procrastination (motion $\neq$ progress); never writing decisions down and re-litigating them monthly; isolating precisely when you most need peers.

10.4 Stage 10 checklist

- ☐ Decision journal started (date, decision, reasoning, review date)
- ☐ One-way vs two-way door label applied to every major pending decision
- ☐ Calendar: maker mornings protected, calls batched, weekly review slot
- ☐ Monthly update template drafted; first one sent to 2–3 mentors/peers
- ☐ Founder peer circle: 2–3 people, recurring call scheduled
- ☐ Personal SLOs written: sleep floor, weekly day off, exercise slots
- ☐ The “% hours on product/customers” number tracked for one week

This week: Track your hours for 5 days against build/sell/learn/overhead. Then send your first monthly-update-style email to two mentors — including a real lowlight and one specific ask.

10.5 Quiz — Stage 10

1. Classify: (a) changing TokenFin’s pricing tiers, (b) accepting a lead VC, (c) killing the ASM tool to focus. Which are two-way doors? What does that change about how you decide each?
2. Why must lowlights appear in investor updates? What happens to founders who omit them?

3. What's the mechanism by which identity-fusion with your startup damages decision quality? Give an example decision it would distort.
4. Design your ideal founder week: how many maker blocks, when are calls, where's the review?
5. What early-warning signs of burnout will you specifically watch for in yourself, and what's the pre-committed response?

STAGE 11 — Scaling & Long-Term

11.1 Scaling post-PMF: the founder's job changes

Pre-PMF you *do* the work; post-PMF you *build the machine* that does the work. Three transitions, each painful:

1. **From doing to designing:** document the sales playbook you ran, then hire people into it (never the reverse). Same for onboarding, support, marketing. Your “write it down the second time” habit becomes the operating manual.
2. **From flat to structured:** past ~8-10 people you need managers; past ~25 you need real functions. Communication overhead grows N^2 ; fight it with written culture (GitLab handbook model), async updates, and few-but-sacred meetings. Expect to re-found the company culturally at 10, 30, and 100 people — what worked at each size breaks at the next.
3. **From product bets to portfolio discipline:** post-PMF capital goes to what measurably works (channel with best payback, segment with best NRR). The experiments continue but are now a protected minority of resources, not the whole company.

Systems that must harden with scale: security/compliance (SOC 2 Type II becomes a sales blocker in infra — start ~6 months before enterprise pushes demand it; as a security-tool vendor you'll be held to a higher bar), reliability (SLAs, on-call, incident process), finance (real accounting, revenue recognition, board reporting), and hiring (structured interviews, leveling — improvisation stops scaling around hire #10).

When to scale a function: when it's *repeatably working* and constrained by capacity — not when it's broken. Scaling a broken machine breaks it faster (premature scaling, again).

11.2 International expansion basics

For SaaS/devtools, you're “international” from day one — your first customer may be anywhere. Real expansion questions:

- **Sell-first, entity-later:** you can sell US/EU SaaS from an Indian entity for a long time (export of services, watch GST zero-rating/LUT paperwork). Open a foreign entity only when enterprise deals, hiring, or payment friction force it.
- **Pick markets by pull:** expand where inbound already comes from, not where a map looks impressive. One new market done properly (localized pricing, support hours, references) beats five flags.
- **What actually changes per market:** compliance (GDPR for EU customers — you likely need this early anyway; DPAs, data residency asks), payment methods, price sensitivity, support timezone, and for the ASM tool possibly export-control-ish sensitivities around security tooling.
- India-specific plumbing for global SaaS: forex receipts (Stripe/Wise/RBI purpose codes), softex/EDPMS formalities where applicable, transfer pricing once you have related entities. Boring, delegable, but must not be ignored.

11.3 M&A, acquisitions, exits — what they actually look like

- **Why companies buy:** talent (acqui-hire, small \$, mostly retention packages), tech/product (fills a roadmap gap — the likely shape for a TokenFin-type outcome: an observability or cloud-cost platform buying the LLM FinOps wedge), or business (revenue/market share, larger multiples). Knowing *which* you'd be tells you your realistic buyer list — it's worth keeping a "who would buy this and why" note updated yearly.
- **How it happens:** rarely from a cold "for sale" sign. Acquirers buy companies they already know — via partnerships, integrations, or competing deals. "Build relationships with potential acquirers years early, casually" is real advice: integration partnerships are M&A dating.
- **Process reality:** interest → LOI (non-binding price + exclusivity) → 60-90 days of due diligence (this is where messy cap tables, missing IP assignments, and unpapered contracts kill deals or cut price — every Stage 3 checklist item is exit insurance) → definitive agreement. Watch: earn-outs (price contingent on future performance — often disappoints), retention golden handcuffs, reps & warranties, and how *liquidation preferences* split proceeds: in a \$30M sale after raising \$10M with 1x preference, investors take their \$10M (or their %, whichever is greater) before common shareholders — model your own waterfall before celebrating a headline number.
- **Emotional truth:** most exits are ambivalent. Decide your own number/conditions *before* an offer exists; deciding during an offer is deciding under adrenaline.

11.4 IPO — high-level awareness only

An IPO is a financing event plus a permanent lifestyle change: quarterly public reporting, analyst scrutiny, stock-price management. Requirements (directional): \$100M+ revenue, predictable growth, audited multi-year financials, independent board. Alternatives: direct listings (Spotify, Coinbase), and in India, SME exchanges and mainboard listings with their own SEBI norms (2024-25 saw a wave of Indian startups reverse-flipping to list domestically). For you this is a decade-away awareness item; the only present-tense implication: clean books and clean cap table from day one keep every door open.

Common Stage-11 mistakes: scaling spend before the sales playbook is documented and repeatable; hiring senior "scale executives" pre-PMF; expanding to new markets/products while the core still leaks; ignoring compliance until it blocks a signed deal; taking an LOI without running a competitive process (one bidder = their price); not modeling the preference waterfall before saying yes.

11.5 Stage 11 checklist

- ☐ Sales/onboarding/support playbooks written before hiring into them
- ☐ SOC 2 / security-compliance timeline mapped against enterprise pipeline
- ☐ Expansion decided by inbound-pull data, not ambition
- ☐ "Likely acquirers and why" note drafted (update yearly)
- ☐ Integration partnerships doubling as acquirer relationships
- ☐ Personal exit conditions written down, privately, in advance
- ☐ Cap table, IP, contracts kept diligence-ready at all times

This week (awareness-level): Write the half-page "who would plausibly buy TokenFin

in 5 years and why” note. It clarifies positioning and partnership priorities *today* even if you never sell.

11.6 Quiz — Stage 11

1. What must exist before you hire a sales team to scale revenue, and what happens if you skip it?
2. Your \$30M acquisition offer: you raised \$8M at 1x non-participating preference; investors own 30%. Roughly what do common shareholders split, and how would *participating* preferred change it?
3. Why are integration partnerships described as “M&A dating”? What’s the mechanism?
4. When does an Indian SaaS company actually need a foreign entity — name two concrete triggers.
5. Why is premature scaling more dangerous than slow scaling? Connect it to unit economics from Stage 2.

STAGE 12 — Risk, Compliance & Common Pitfalls

12.1 India compliance basics for a tech startup

(Directional; confirm current rules with your CA — thresholds and rules change.)

- **GST:** registration mandatory past turnover thresholds (~₹20L services; register earlier voluntarily for input credits and B2B credibility). Export of services (your US customers) can be **zero-rated** — file an LUT annually to invoice without charging GST. Monthly/quarterly returns (GSTR-1, 3B); miss dates and penalties compound quietly.
- **Income tax & TDS:** deduct TDS on salaries, contractor payments (194J/194C), rent; deposit monthly, file quarterly. Startup-specific: DPIIT recognition → Sec 80-IAC tax holiday application (3 of 10 years) if eligible.
- **ROC/MCA (for Pvt Ltd):** annual filings (AOC-4, MGT-7), board meetings minimum cadence, statutory registers, auditor appointment. Boring, cheap to delegate, expensive to ignore (director disqualification is real).
- **DPDP Act (Digital Personal Data Protection, 2023):** India's data-protection law — consent-based processing, purpose limitation, breach notification to the Data Protection Board, significant penalties (up to ₹250 Cr for serious breaches). For you it lands twice: TokenFin's prompt-capture may hold personal data inside prompts (your off-by-default + TTL design is exactly right — document it as a compliance stance), and the ASM tool processes infrastructure data customers consider sensitive. Also relevant since your buyers are global: **GDPR** (EU) and **SOC 2** (US enterprise expectation) — international customers will push their compliance duties down to you via DPAs.
- **Labor basics once you hire:** written contracts, PF/ESI past thresholds, professional tax (state-wise), POSH committee requirements at 10+ employees, state Shops & Establishments registration.
- **Sector-specific for the ASM tool:** authorization letters before scanning anyone's infrastructure (unauthorized scanning can invoke the IT Act; always have written scope + permission), responsible-disclosure posture, and care with CERT-In reporting rules (India's 6-hour incident-reporting norms for covered entities).

12.2 Why startups actually fail — case studies

CB Insights' recurring top reasons: no market need, ran out of cash, wrong team, outcompeted, pricing/cost issues, and co-founder conflict. Behind each, a famous corpse:

- **No market need / built-in-a-vacuum:** Segway; Juicero (\$120M raised for a wifi juicer whose packs could be squeezed by hand); Quibi (\$1.75B, validated by celebrity enthusiasm instead of customer behavior — no evidence anyone wanted 10-minute paid mobile TV). Antidote: Stage 1, done honestly.
- **Premature scaling / ran out of cash:** Webvan (\$800M+ into warehouses and trucks before proving demand economics); Fast (one-click checkout, ~\$120M raised, ~\$600k annual revenue, 100+ headcount — burn without engine). Antidote: default-alive math (Stage 7), scale only what works (Stage 11).
- **Unit economics denial:** MoviePass (paid ~\$10/ticket, charged \$9.95/month unlimited — arithmetic as cause of death); many quick-commerce and homejoy-style services where CAC > LTV forever. Antidote: Stage 2's five numbers, computed monthly.

- **Co-founder / trust implosion:** countless unnamed; publicly, Zenefits (culture/compliance), WeWork (governance — founder control without checks). Antidote: Stage 3 paper + Stage 8 candor.
- **Outcompeted after validating the market:** the graveyard of Dropbox clones, and India's hyperlocal wave of 2015–16 (PepperTap et al.) — being right about the market is not enough; you must survive the war. Antidote: a real wedge + speed + enough runway.
- **Fraud/ethics as slow poison:** Theranos is the extreme; the mundane version is founders inflating metrics to investors until the gap becomes unbridgeable. Never do this; markets forgive failure, not fabrication (recent enforcement against startup founders for revenue round-tripping makes this concrete).

12.3 Red flags — read these before you need them

In co-founders: unwillingness to discuss equity/roles concretely (“we’ll figure it out”); no skin in the game while demanding founder equity; different ambition levels discovered late (lifestyle vs venture); trash-talking previous collaborators (you’re next); can’t take being wrong in small things (will be worse in big ones).

In investors: term-sheet exploding in 48 hours (pressure tactic); >1x or participating liquidation preference at seed; asking for >30% at seed or board control pre-Series A; a portfolio of dead companies whose founders won’t vouch for them (**always reference-check investors** — call 3 founders they backed, *including one whose startup failed*: how did the investor behave then?); tranching checks tied to soft milestones; requests for exclusivity before diligence; “we invest when you have a lead” (that’s a no wearing makeup).

In deals/customers: an enterprise “pilot” with unbounded custom work and no pre-agreed price; one customer growing past ~30% of revenue (concentration = they own you); channel partners demanding exclusivity; acquirers requesting deep tech diligence with no LOI (free due diligence = free R&D espionage — stage your disclosures).

In yourself (the hardest list): re-litigating decided things weekly; building features to avoid selling; calling investor meetings “traction”; hiding from your own metrics; keeping a failing product alive because sunk cost — you have two products, so pre-commit to the evidence that would kill one (you set that bar in Stage 1; honor it).

12.4 Stage 12 checklist

- ☐ Compliance calendar with CA: GST/LUT, TDS, ROC, payroll dates — automated
- ☐ DPDP/GDPR posture documented; DPA template ready; prompt-capture stance written up
- ☐ ASM tool: written-authorization template mandatory before any scan
- ☐ Investor reference-check ritual defined (3 calls incl. one failed founder)
- ☐ Customer-concentration and pilot-scope guardrails written
- ☐ The failure post-mortems above mapped to your own top-3 risk list
- ☐ Kill-criteria for each product re-confirmed and dated

This week: Book an hour with a CA to set up the compliance calendar, and write your ASM scanning-authorization template. Both are cheap now and existential later.

12.5 Quiz — Stage 12

1. Which single failure cause do TokenFin and the ASM tool each most need to guard against, and what's your specific evidence-based defense?
2. Explain zero-rating + LUT for your US SaaS revenue in two sentences.
3. An investor offers a fast term sheet: 25% for a seed check, 2x participating preference, 48-hour deadline. Identify every red flag and your counter-move.
4. What does DPDP change about TokenFin's prompt-capture feature, and why is your current design defensible?
5. MoviePass vs Juicero: different failure classes — name each, and which stage of this curriculum would have caught it.

Closing — Your 90-Day Map

You don't need to master all twelve stages before acting. The stages are a loop, not a ladder — you'll revisit each at every new level of scale. For the next 90 days:

Days 1-30 (Stage 1-2 in anger): 15+ problem interviews across both products; landing page + free-artifact test for each; unit-economics spreadsheet; drafted pricing said out loud to real prospects. Set the kill/focus bar: which product gets 3 paying pilots first.

Days 31-60 (Stages 3-6): entity rationale settled and papered; IP assignments signed; positioning statement + 100-account list; 10 personalized touches a day; discovery-script-first calls; first timeboxed paid pilot with written success criteria.

Days 61-90 (Stages 7, 9, 10): dilution model built whether or not you raise; burn/runway/default-alive on a monthly reminder; North Star declared; weekly metrics review + Friday review rituals running; first monthly update sent to mentors; peer circle formed.

The single meta-skill underneath all twelve stages: **shorten the loop between belief and evidence.** Every framework here is just a different way of asking “what do I believe, what would prove it wrong, and what's the cheapest fastest test?” You already think this way about systems. Point it at the business.

Good luck — and remember the bar you set in Stage 1. Honor it.

— End of curriculum. Keep this document; re-read the relevant stage before each new phase, and re-take the quizzes cold.